Pine Valley Local Administrative District ("PVLAD")

Meeting Minutes – PENDING

Pine Valley Fire Station, 680 East Main Street, Conference Room

October 14, 2026, 6:00 P.M.

Board Members: Frank Davie, Chairman
Tom Nielsen, Vice Chairman (excused)
Emily Neilson
Brad Esposito
Cortney Snow

PVLAD Assistants: Rick Peetz, Clerk
Teri Forbes, Treasurer

Fire Chief Robert Hardy

Others: Gene Phillips
Bob Dalley
Allen Cannon
Larry Gardner
Kendall Sullivan
Lee Snow
Steve Shakespeare
Toni Rose
Mark Rose
Mark Owens
Rob Nodine
Joseph Hunt (7:20 pm)

1. Welcome, Prayer & Pledge of Allegiance – Emily Neilson and Brad Esposito.

Chair Frank Davie called the meeting to order at 6:01 PM.

Emily Neilson offered the prayer. Brad Esposito led the Pledge of Allegiance.

Chair Davie commended the County for their work to increase culvert capacity and improve drainage. As a result of heavy rains the previous Sunday, there was a soft closure of the road into the Valley. Fire Chief, Robert Hardy, showed images of the reservoir and dam from the previous week. A recent KUTV news report contained additional information on the conditions.

2. Pine Valley Overlay Zone Business – Emily Nielson.

There was no Overlay Zone Business.

3. Meeting Minutes.

A. Approval of the September 9, 2026, PVLAD Meeting Minutes.

Brad Esposito moved to APPROVE the September 9, 2026, PLVAD Meeting minutes. Cortney Snow seconded the motion. The motion passed with the unanimous consent of the Board.

4. Board Member Reports.

A. Pine Valley Activities – Frank Davie.

Chair Davie reported that the Community Halloween Activity will take place on Saturday, October 24. Chair Davie commented on the great activities that take place in the valley.

Rick and Lynn Peetz were thanked for their efforts posting the flags. It was recognized that many will need to be replaced next year.

B. Traffic Report – Tom Nielsen.

There was no Traffic Report.

5. Community Watch – Tom Nielsen & Gene Phillips.

Gene Phillips reported that a Community Watch Meeting is scheduled for Saturday, October 24 at 4:00 p.m. to talk about radios. The database was in the process of being updated.

6. Clerk Report and Treasurer's Reports (September) – Rick Peetz and Teri Forbes.

Rick Peetz presented the Clerk's Report and stated that only a few transactions went through, with one being to purchase parts for the speed sign. Interest income was also received.

Teri Forbes balanced the bank account and reported that it was in order.

Emily Neilson moved to APPROVE the Clerk and Treasurer's Reports.

Brad Esposito seconded the motion. The motion passed with the unanimous consent of the Board.

7. Follow-Up Report on Contact with County Code Enforcement Officer, Emerson Rivera, on Unlicensed Airbnbs in the Valley – Chair Davie.

Chair Davie reported that he met with County Code Enforcement Officer, Emerson Rivera. Rick's records show 13 Airbnbs in the Valley, with only six being licensed. Rick explained that all 13 pay the higher fire assessments, but they are not legal with the County. The current list was submitted to the County a few weeks prior.

Kendall Sullivan suggested that the County look at the health standards associated with each property. He had heard that one rental in particular has rodent droppings and other cleanliness issues.

8. 2027 Budget Discussion – Rick Peetz.

Rick presented the proposed budget and suggested there be discussion among the Board. He noted that currently there is $29,545 cash on hand. He expects there to be an additional $5,400 in expenses by the end of the year. The bulk of that is primarily the sign renewal cost. He was proposing $12,000 in the budget, which is likely more than will be spent. He reported that there cannot be more in the accounts than there are expenses for the year. Currently, they are at double that amount. Going forward, he was not comfortable billing unless there is a way to spend some of those funds. He noted that the funds were entrusted to the Board for police services and should not be used to cover other costs.

Emily referenced the fund balance limitations and stated that Utah Code requires 50% of the total General Fund revenues and budgets to be less than $100,000. She recalled that at a previous meeting they discussed whether it would be appropriate for the Board to help pay for some of the trees that the Dinner Committee is funding.

There was discussion about whether to raise the fire assessment fees next year or establish a new long-term rate to cover known expenses. Cortney suggested assessing fees based long term needs rather than skipping a year. Rick agreed to provide data with that in mind for the Board to consider. Emily asked that Rick develop a five-year budget to review as part of any possible fee assessment change.

Chair Davie reported that there are people in St. George who would like to donate trees. Emily suggested that at the next meeting the Board assess what the fee will be based on a five-year projection.

With regard to trees, Mark Owens reported that he spoke the previous day with Kassie Pebworth, the owner of Big Trees Nursery in New Harmony. They originally discussed purchasing 150 trees but questioned whether they could handle 150 this fall. The cost would be approximately $22,500 for 150 trees. The overall cost was expected to be around $25,000 with fuel and topsoil amendments. He stated that the Dinner Committee has around $18,000 to use toward that purchase.

Larry Gardner asked where the trees are proposed to go. Mark stated that there are 11 homes of the 13 that were destroyed in the Forsyth Fire as well as on U.S. Forest Service property. He noted that an average of 18 trees per lot in the forest has been approved. Emily suggested the Board consider what is in their purview and revisit the issue next month. She wanted to make sure that the Board feels good about what the money is spent on. It was suggested that the $7,000 be included in the Tentative Budget. Cortney stated that there is a balance of approximately $18,000 in the Dinner Committee's account; however, the actual available amount will depend on other projects that are considered.

It was determined that funds would need to be spent this year to purchase trees. Board authorization would be needed to finalize that purchase. Items to be addressed during a public hearing at the next meeting were to include a Budget Amendment and the Tentative Budget.

9. Follow-Up on Commercial Business Review – Chair Davie.

Chair Davie commented on a new business operating in front of the Wells residence and stated that the County has indicated that they have no issues with it. Emerson Rivera from the County took the matter to the County Commission, where it was discussed. Brad indicated the business operates from a permanent structure that has not been constructed correctly. As a result, a precedent will be set that will allow others to do the same.

Emily pointed out that the use falls within what is approved as a home-based business in a residential area. As a result, the Board has no say. The County considers the use to be a minor home-based business. The parameters pertaining to various business uses were discussed.

A comment was made that the owner of the business plans to serve full dinners going forward. Emily reiterated that the Board does not have legislative power

over home-based businesses, which are governed by the County. Brad questioned whether a separate structure on a property constitutes a home-based business. It was noted that the operation is preparing to close for the season. His main concern was setting a precedent.

Cortney suggested that to discuss this issue, they should be able to identify County and Board responsibilities. Emily noted that the Overlay Zone allows for a home-based business as long as the County requirements are met. Her understanding was that the County approved what is taking place.

Cortney suggested that the Board take the issue back to the County for clarification or reconsideration based on the concerns raised. Chair Davie offered to contact the County again and let them know there are concerns. Emily was concerned with setting a precedent with respect to limiting home-based businesses. She agreed that major operations should be limited. Brad was not opposed to the other home-based businesses identified because they are not operating from a separate building. Questions were raised as to whether the operation taking place on the Wells property has obtained a Business License. It was noted that a Food Handler's Permit is not required for a home-based business. Emily noted that the Brandin' Iron is completely different because it is located in a commercially zoned area.

Chair Davie referenced the Iron Man operation taking place in the old Jacobsen home and stated that the owner has a large business that he operates from Las Vegas. The property owner is not allowed to obtain a license to run the business and do work in a residential area. Emily stated that the business would be considered a major home occupation in a residential area. The Overlay Zone prohibits rezoning more land to commercial; however, if a property is zoned residential and the County standards for a home-based business are met, the Overlay Zone has no say in approving or denying it.

Emily explained that the Board's options are to request that the County change the Overlay Zone or take issue with the County's assessment of the businesses in question and ask that they be revisited. That seemed to be the only next step for the business operating on the Wells property. The charter specifically references public safety. Emily explained that the Board was established to pay the Sheriff's Office for extra support.

Cortney felt that it is within our charter to bring these types of issues forward to the appropriate level with the County. To do so, there should be open discussions addressing the specifics.

Bob Dalley asked if there was documentation of discussions that have taken place at the County level. Chair Davie was not aware of any documentation

and would have to inquire with Mr. Rivera. Cortney asked if a checklist is used by the County. Chair Davie stated that Mr. Rivera is aware of what is taking place on the Wells property.

10. Board 2nd and 3rd Quarter Bank Reconciliation Report – Cortney Snow.

Cortney reported that the 2nd and 3rd quarter reconciliations were completed.

Emily Neilson moved to APPROVE the 2nd and 3rd Quarter Reconciliation Reports. Cortney Snow seconded the motion. The motion passed with the unanimous consent of the Board.

11. Cattlemen's Fencing in Need of Repair – Chair Davie.

Chair Davie reported that he has received complaints from residents about cattlemen's fencing in the valley being poorly maintained. Specifically, there was concern about the fence east of the Lodge on the south side of Main Street, which was identified as private property. It was noted that fencing is not required on private property. The concern was due to cows getting on a property as well as appearance.

Larry Gardner indicated that the County has a fence-out ordinance in place. He personally was always open to anyone informing him of a down fence. He tries to keep his cattle in the field and explained that the cattle in town belong to individuals who have a permit on US Forest Service property. Those animals are supposed to be in the forest and not in town. The only way to keep them out of town is to ensure that there is adequate fencing.

It was reported that Dennis Iverson leases the property identified and the property is owned by the Coxes. The cows on that property have come from the back fence and are not owned by Mr. Iverson. Another issue is that due to work being done on Pole Creek, the fences are down, which allows cows to come in from the top or bottom. That fencing will be replaced once the work on Pole Creek is complete. That does not, however, include fencing that was destroyed in the Forsyth Fire. Larry commented that the real issue is across the back of the properties.

Cortney stated that there is no such thing as a "town herd". The issue is with permit cattle getting through the fence and onto the streets, which creates a health and safety issue. If there is a cow with a tag in the streets, it should be somewhere else.

Emily's take was that this is a fence on private property. The concerned

resident can reach out to the property owner and donate materials to repair the fence, if desired. Chair Davie stated that the resident was informed that if he doesn't want cows on his property, it is his responsibility to install proper fencing.

12. Residential Water Rates Discussion – Chair Davie.

Chair Davie reported that there has been a lot of concern about the recent water rate increases. Lee Snow reported that in May of last year they hired a retiree from the Public Service Commission ("PSC") to complete an application for a rate increase. As part of that process, they identified certain things they wished to accomplish. The interim rate is currently in place. The process took longer than anticipated, and they expected to have to spend a lot of money in a short period of time. The matter went before a judge who imposed the interim rate increase, which was to have gone into effect in June 2026. Things went more slowly than expected, and they did not need the money, so the rate increase was not implemented until September. They were in constant contact with the PSC, which required them to impose the rate. They issued a letter to water users as soon as they could to inform them of the increase. In his opening statement, Lee stated what he thought the rate increase should be, and the rate was changed. There were typos in the exhibit, which were in the process of being corrected.

Lee stated that the bills that were sent out should be paid by customers. On November 6, the judge will rule on the permanent rate, which will go into effect on January 1. Any amounts that have been overpaid will be reissued as a credit. It was stressed that what has been imposed is a temporary rate increase.

Larry explained that the rate increase is cost-driven. A few years back, they were having trouble keeping water in the tanks, at which time their spring production had dropped to less than 200 gallons per minute. Typically, it has been over 600 gallons per minute. This year, it is 1,350 gallons a minute. This was likely due to the fire having eliminated a great deal of vegetation.

A few years earlier, they started the process and have been working with the PSC and the Department of Public Utilities ("DPU"). The DPU presents its case to the PSC. As part of the ongoing discussion, they have tried to keep the rate as low as possible. The PSC and DPU have been trying to increase the rate and ensure that Pine Valley Irrigation ("PVI") is a viable company. PVI's goal is to continue to provide the community with quality water, and they were getting a lot of pressure to impose tiered rates.

Larry explained that they were proposing a 300,000-gallon storage tank as

part of the rate approval; however, that was postponed. They have since reworked their Capital Facilities Plan. He explained that the increase was driven by demand and nearly every dollar they have received over the last 50 years has gone back into the company to fund three large tanks and a pump station. They have also drilled three different wells, two of which were not productive. They have replaced major lines and done what they can to keep the water flowing. He explained that the PVI owns the culinary system and is a private public utility.

Lee reported that when the PSC implements a tier rate, they add the base rate, which is the amount paid each month. The current base rate is $49.50. The first tier will go back into a Capital Facilities Account. Over a 16-year period, they accumulated $450,000 in that account. It is used only for improvements and was used to pay for the well. The subsequent tiers fund the company.

Larry explained that the state put a lot of pressure on them to keep the rates high, with the top tier reaching $24 per 1,000 gallons. PVI felt that was too high. At the October 7 meeting, the DPU agreed to a base rate of $42. The tier rate has also been capped at $6 instead of $24. Lee explained that they are unable to store water, so water that is unused flows down the creek. Cortney pointed out that the need to conserve should not be punitive.

Larry stated that the $42 base rate includes the first 1,000 gallons. The next 9,000 gallons will cost $1.50 per 1,000 gallons. 10,000 to 20,000 gallons will cost $3 per 1,000 gallons; 20,000 to 40,000 gallons will cost $4 per 1,000 gallons; and 40,000 to 80,000 gallons will cost $5 per 1,000 gallons. Anything above 80,000 gallons will cost $6 per 1,000 gallons.

13. Public Comment. Members of the public may verbally address the Board regarding matters within the jurisdiction of the Pine Valley Local Administration District after being recognized by the presiding Chair. Members of the public participating remotely may participate by notifying the moderator they wish to speak. Comments are limited to three minutes per speaker. The Board may receive and consider comments but will not take final action on new matters raised during public comment, unless properly noticed on a subsequent agenda.

There were no public comments.

14. Other Business.

There was no other business.

15. Adjournment.

Cortney Snow moved to ADJOURN. Brad Esposito seconded the motion. The motion passed with the unanimous consent of the Board.

The meeting adjourned at 7:36 PM.

The next PVLAD meeting is scheduled for November 11, 2026.